Practice workbook · Why partners get interest, salaries and loan interest

The reason for interest on capital, interest on drawings, salaries and partner loans, and why partnerships need appropriation, capital and current accounts.

7 question parts: 1 worked-example retry and 6 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ACC-PIR-03

1. Question 2 · part f.i · 3 marks

2021 NOV · Paper 02

Worked-example retry · Attempt part f.i only.

2 (a) State **one** advantage and **one** disadvantage of forming a partnership.

(2)

Advantage

Disadvantage

Able and Beena are in partnership sharing profits and losses in the ratio 3:1.

The partnership agreement also provided for:

- interest on capital at 8% per annum
- interest on drawings at 10% per annum
- an annual salary of $7 200 for Beena.

The following information was available at 1 May 2020

Account	Able $	Beena $
Capital	75 000	25 000
Current	1 500	2 750 Dr

For the year ended 30 April 2021 profit for the year was $26 550 and total drawings were Able $16 000, Beena $10 500

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1. Question 2 · part f.i · 3 marks

2021 NOV · Paper 02

Worked-example retry · Attempt part f.i only.

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(b) Prepare the appropriation account for the year ended 30 April 2021.

(8)

Able and Beena
Appropriation account for the year ended 30 April 2021

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1. Question 2 · part f.i · 3 marks

2021 NOV · Paper 02

Worked-example retry · Attempt part f.i only.

(c) Prepare Beena's current account for the year ended 30 April 2021. Balance the account on that date and bring the balance down on 1 May 2021.

(6)

Current Account – Beena

Date	Details	$	Date	Details	$

(d) State **one** reason why a partner may have a debit balance in their current account.

(1)

(e) State, indicating with a tick (✓), the effect, if any, each transaction would have on a partnership's profit for the year.

(3)

Transaction	Increase	Decrease	No effect
A partner withdraws goods for their own use.			
A partner purchases stationery for the business from their own monies.			
A partner introduces capital into the business.			

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1. Question 2 · part f.i · 3 marks

2021 NOV · Paper 02

Worked-example retry · Attempt part f.i only.

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(f) Explain why a partnership:

(i) charges interest on drawings

(3)

(ii) allows interest on capital.

(2)

(Total for Question 2 = 25 marks)

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Working and answer

2. Question 2 · part f.ii · 2 marks

2021 NOV · Paper 02

Further practice · Attempt part f.ii only.

2 (a) State **one** advantage and **one** disadvantage of forming a partnership.

(2)

Advantage

Disadvantage

Able and Beena are in partnership sharing profits and losses in the ratio 3:1.

The partnership agreement also provided for:

- interest on capital at 8% per annum
- interest on drawings at 10% per annum
- an annual salary of $7 200 for Beena.

The following information was available at 1 May 2020

Account	Able $	Beena $
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2. Question 2 · part f.ii · 2 marks

2021 NOV · Paper 02

Further practice · Attempt part f.ii only.

(b) Prepare the appropriation account for the year ended 30 April 2021.

(8)

Able and Beena
Appropriation account for the year ended 30 April 2021

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2. Question 2 · part f.ii · 2 marks

2021 NOV · Paper 02

Further practice · Attempt part f.ii only.

(c) Prepare Beena's current account for the year ended 30 April 2021. Balance the account on that date and bring the balance down on 1 May 2021.

(6)

Current Account – Beena

Date	Details	$	Date	Details	$

(d) State **one** reason why a partner may have a debit balance in their current account.

(1)

(e) State, indicating with a tick (✓), the effect, if any, each transaction would have on a partnership's profit for the year.

(3)

Transaction	Increase	Decrease	No effect
A partner withdraws goods for their own use.			
A partner purchases stationery for the business from their own monies.			
A partner introduces capital into the business.			

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2. Question 2 · part f.ii · 2 marks

2021 NOV · Paper 02

Further practice · Attempt part f.ii only.

DO NOT WRITE IN THIS AREA

(f) Explain why a partnership:

(i) charges interest on drawings

(3)

(ii) allows interest on capital.

(2)

(Total for Question 2 = 25 marks)

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Working and answer

3. Question 2 · part a.i · 1 mark

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part a.i only.

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2 On 1 January 2022 Belen and Charo started a partnership with capital introduced of $80 000 and $90 000 respectively.

The partnership agreement provides for:

- profits and losses to be shared equally
- interest of 5% per annum on opening capital balances
- interest of 8% per annum on total drawings
- a salary of $2 000 per **month** for Charo.

(a) State **one** reason why a partnership agreement provides for:

(i) interest on capital

(1)

.....

.....

(ii) interest on drawings

(1)

.....

.....

(iii) partnership salary.

(1)

.....

.....

Profit for the year ended 31 December 2022 was $66 200 and the partners made the following drawings.

Partner	Cash drawings $	Goods taken for own use $
Belen	20 000	–
Charo	36 000	2 000

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3. Question 2 · part a.i · 1 mark · Working and answer

Working and answer

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4. Question 2 · part a.ii · 1 mark

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part a.ii only.

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2 On 1 January 2022 Belen and Charo started a partnership with capital introduced of $80 000 and $90 000 respectively.

The partnership agreement provides for:

- profits and losses to be shared equally
- interest of 5% per annum on opening capital balances
- interest of 8% per annum on total drawings
- a salary of $2 000 per **month** for Charo.

(a) State **one** reason why a partnership agreement provides for:

(i) interest on capital

(1)

(ii) interest on drawings

(1)

(iii) partnership salary.

(1)

Profit for the year ended 31 December 2022 was $66 200 and the partners made the following drawings.

Partner	Cash drawings $	Goods taken for own use $
Belen	20 000	–
Charo	36 000	2 000

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4. Question 2 · part a.ii · 1 mark · Working and answer

Working and answer

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5. Question 2 · part a.iii · 1 mark

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part a.iii only.

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2 On 1 January 2022 Belen and Charo started a partnership with capital introduced of $80 000 and $90 000 respectively.

The partnership agreement provides for:

- profits and losses to be shared equally
- interest of 5% per annum on opening capital balances
- interest of 8% per annum on total drawings
- a salary of $2 000 per **month** for Charo.

(a) State **one** reason why a partnership agreement provides for:

(i) interest on capital

(1)

(ii) interest on drawings

(1)

(iii) partnership salary.

(1)

Profit for the year ended 31 December 2022 was $66 200 and the partners made the following drawings.

Partner	Cash drawings $	Goods taken for own use $
Belen	20 000	–
Charo	36 000	2 000

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Turn over ▶

5. Question 2 · part a.iii · 1 mark

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part a.iii only.

(b) Prepare the appropriation account for the year ended 31 December 2022.

(8)

Belen and Charo
Appropriation Account for the year ended 31 December 2022

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5. Question 2 · part a.iii · 1 mark · Working and answer

Working and answer

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6. Question 2 · part b · 2 marks

2023 JUN · Paper 02

Further practice · Attempt part b only.

2 (a) Explain why it is advisable to draw up a partnership agreement when forming a new partnership.

(3)

Joan and Lewis are in partnership sharing profits and losses equally.

The partnership agreement provides for:

- interest of 8% per annum on opening capital balances
- an annual salary of $17 000 for Lewis
- interest of 5% per annum on total drawings
- interest of 6% per annum on partnership loans.

(b) Explain **one** reason why a partner may decide to provide a loan to the partnership rather than investing more capital.

(2)

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6. Question 2 · part b · 2 marks

2023 JUN · Paper 02

Further practice · Attempt part b only.

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The partners provided the following information.

At 1 January 2022	$
Capital account	
Joan	85 000
Lewis	75 000
Current account	
Joan	2 760
Lewis	3 900
Partnership loan	
Lewis	10 000
At 31 December 2022	
Cash drawings	
Joan	5 000
Lewis	7 000

The draft profit for the year ended 31 December 2022 was $56 800 before adjusting for the following errors and omissions.

- Lewis's annual salary had been included in staff salaries.
- Goods taken by Joan for her own use $1 000
- Interest on the partnership loan.

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6. Question 2 · part b · 2 marks

2023 JUN · Paper 02

Further practice · Attempt part b only.

(c) Prepare the appropriation account for the year ended 31 December 2022.

(12)

Joan and Lewis
Appropriation account for the year ended 31 December 2022

	$	$
Draft profit for the year		**56 800**
Adjusted profit for the year		

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6. Question 2 · part b · 2 marks · Working and answer

Working and answer

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7. Question 2 · part e · 6 marks

2019 JUN · Paper 02

Further practice · Attempt part e only.

2 (a) State which accounting concept applies in **each** scenario.

(3)

Scenario	Accounting concept
Adjusting expenses for other receivables	
Creating a provision for irrecoverable debts	
Recording goods taken for personal use	

(b) Define the terms:

(i) profitability

(1)

(ii) liquidity. (1)

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7. Question 2 · part e · 6 marks

2019 JUN · Paper 02

Further practice · Attempt part e only.

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A business provided the following information.

Ratio	2018	2017
Gross profit percentage	23.50%	20.00%
Profit for the year as a percentage of revenue	15.97%	12.47%
Current (working capital) ratio	2.89:1	1.75:1
Liquid (acid test) ratio	1.57:1	0.87:1

(c) Evaluate the performance of the business over the two years.

(5)

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7. Question 2 · part e · 6 marks

2019 JUN · Paper 02

Further practice · Attempt part e only.

(d) Identify, indicating with a tick (✓), which statements are true or false in the absence of a partnership agreement according to section 24 of the Partnership Act 1890.

The first one has been completed as an example

(4)

	True	False
Profits and losses are shared equally	✓	
5% interest on capital		
No interest on drawings		
5% interest on partners' loan		
All partners receive a salary		

(e) Discuss the need for a partnership to prepare different accounts from those prepared by a sole trader.

(6)

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7. Question 2 · part e · 6 marks

2019 JUN · Paper 02

Further practice · Attempt part e only.

(f) Evaluate whether a sole trader should form a partnership.

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(Total for Question 2 = 25 marks)

7. Question 2 · part e · 6 marks · Working and answer

Working and answer

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